

Suppose we have a stock at ₹2000 and we expect the market to go down temporarily. What we can do is, we can sell a call at :

STRIKE PRICE

PREMIUM

$\text{₹2400} +$

₹10

Now, as the share price goes down our losses will be reduced by this ₹10.

Let's say

MARKET PRICE ON EXPIRY	NET PROFIT/ LOSS	EXPLANATION
₹2300	Profit/Loss = Profit/Loss on CashPosition + Profit/Loss on Selling Call Options = $(\text{₹2300} - \text{₹2000}) + (\text{₹10})$ = $\text{₹300} + \text{₹10}$ = ₹310	We would make a profit of ₹300 from each unit of share due to capital appreciation. Also, we have received additional ₹10 for each option sold. So, our total Profits would be ₹310 as there is no payoff required for call option.
₹2500	Profit/Loss = Profit/Loss on CashPosition + Profit/Loss on Selling Call Options = $(\text{₹2500} - \text{₹2000}) + (\text{₹2400} - \text{₹2500} + \text{₹10})$ = $\text{₹500} - \text{₹90}$ = ₹410 MAXIMUM PROFIT ₹410 is the maximum profit. If the stock price continues to increase, the loss from the options position would increase by the same amount.	We made a profit of ₹500 from share price increase but it was partly offset by ₹100 loss in the options. We also received ₹10 as premium. Going ahead any additional profit from cash would be offset by same exact value loss in options. So, the maximum profit that we can earn is ₹410.
₹1600	Profit/Loss = $(\text{₹1600} - \text{₹2000}) + (\text{₹10})$ = $-\text{₹400} + \text{₹10}$ = -₹390	We have a loss of ₹400. This loss is reduced by ₹10, which was the premium received from call sold.

This is how a covered call reduces the loss exposure. Note that the losses here are still unlimited. We can also have the opposite of this strategy to create a covered put position for reduced losses.